CAPITAL ONE BANK

FINANCIAL OPERATIONS RESEARCH

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CAPITAL ONE BANK

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TABLE OF CONTENTS

I. EXECUTIVE SUMMARY 1.

II. INTRODUCTION 4.

A. Description of the business or organization 4.
B. Description of the target market (demographics, psychographic) 5.
C. Overview of the business or organization's current process for recruiting, hiring, onboarding and retaining employees 6.

III. RESEARCH METHODS USED IN THIS STUDY 7.

A. Description and rationale of research methodologies selected to conduct the research study 7.
B. Process used to conduct the selected research methods 8.

IV. FINDINGS AND CONCLUSIONS OF THE STUDY 9.

A. Findings of the research study 9.
B. Conclusions based on the findings 12.

V. PROPOSED STRATEGIC PLAN 13.

A. Objectives and rationale of the proposed strategic plan 13.
B. Proposed activities and timelines 14.
C. Proposed metrics or key performance indicators to measure plan effectiveness 16.

VI. PROPOSED BUDGET 17.

VII. BIBLIOGRAPHY 19.

I. Executive Summary

BUSINESS OVERVIEW:

9th Largest Bank in North America	**$471.660B** (USD) Assets Under Management (AUM)
100M Customers Globally	**$49.39B** Market Capitalization

Capital One Financial Corporation, commonly referred to as Capital One, is a Fortune 100 bank headquartered in McLean, Virginia. Known for its wide range of products and services, including consumer and business banking, credit cards, and auto loans. Capital One operates globally, specifically in North America, employing more than 50,000 worldwide. This proves to show its prominent position as a key player in the banking industry.

PURPOSE

Capital One must prioritize a comprehensive Diversity & Inclusion (D&I) initiative to unlock hidden productivity and revenue potential. By actively providing an inclusive culture and strategically recruiting diverse talent, Capital One can unlock innovation, improve employee engagement, and ultimately drive financial growth. This report outlines our goals, including internship program adjustments and targeted talent scouting, to make D&I a strategic advantage for Capital One.

RESEARCH METHODS:

Secondary Research:

Capital One's financial performance was assessed through its SEC filings. Available hedge fund reports were analyzed to determine any inconsistencies. Information from their website was also used as an additional source.

Surveys:

A randomized survey was organized via Google Forms with a total of 48 responses from Capital One employees. The data were organized into groups and analyzed using Google Sheets.

Interviews:

We conducted in-depth interviews with Mr. Gandi, a former manager at Capital One, Mr. Beauregard, a business director, and Mr. Gonzalez, a new business analyst, to gather comprehensive Information into Capital One's recruitment procedures and strategies. The interviews were conducted through a series of emails and video calls.

Third-Party Consultations:

We used additional financial resources such as the Capital one website to do a comprehensive study of the recruitment process. Through professional consultations, it can be concluded that there are some worries regarding some practices that have been used in the recruitment process, and the current company culture.

Employee Consultations:

10 Capital One employees were interviewed outside a CO-affiliated branch in Ashburn/Mclean, Virginia, to gather their opinions.

FINDINGS AND CONCLUSIONS:

Opportunites

- Diverse internship programs through blind recruitment and mentorship.
- Strategic talent acquisition with diversity-focused partnerships.
- Recruitment strategies emphasize commitment to diversity.
- Clear metrics in DIVE Plan assess impact for continuous improvement.

Weaknesses

- Communication gaps, can weaken trust and cause dissatisfaction
- D&I ratings concerns, we can strengthen Capital One's bottom line by increasing D&I ratings
- Internship program reliance
- Stressful company environment

Strengths

- Strong/diversified brand and services
- Effective hiring process with onboarding and training programs
- Generous compensation and benefits package, with a supportive and transparent employer brand

Threats

- Less inclusive than a lot of financial institutions & by increasing inclusivity we increase profits.
- Increasing competition from other banks and fintech startups
- Bureaucratic obstacles could delay Capital One's agility.

PROPOSED STRATEGIC PLAN:

A strategic plan with the following four objectives was developed for the *DIVE* plan, which aligns with Capital One's commitment in providing diversity, equity, and inclusion while improving their talent pool for a more innovative and productive future.

Diversify Internship Selection: Proactively seek out and attract interns with diverse backgrounds, majors, and experiences for Capital One's internships and scouting operations.

Innovative Talent Acquisition: Attract diverse candidates, promote finance interest through programs and partnerships. Emphasize value in recruitment and use blind evaluation.

Value-Based Training: Initiate bias awareness and inclusive leadership training to empower employees and create an inclusive workplace culture.

Evaluate Impact and Drive Results: Assess the impact of diversity initiatives on innovation and productivity, ensuring that efforts contribute greatly to Capital One's success.

PROPOSED ACTIVITIES:

Diverse Internship Program: Enhance internship selection by actively recruiting diverse candidates and providing tailored support and mentorship. Completely overhaul current internship admissions to admit based on potential.

Targeted Talent Acquisition: Forge partnerships with diversity-focused networks and career events. Develop recruitment plans emphasizing the value of diversity. Develop recruitment plans emphasizing the value of diversity. Train hiring teams for a fair evaluation.

Inclusive Training: Launch company-wide training on bias awareness and inclusive leadership. Incorporate diversity metrics into performance evaluations.

Measurable Impact Assessment: Set clear metrics to evaluate D&I initiatives' effectiveness. Regularly assess impact on team dynamics, innovation, and employee satisfaction for continuous improvement.

PROPOSED METRICS:

Increase in Diverse Internship Participation	Diversity Representation in New Hires	Improvement in Satisfaction Scores	Employee Participation in Inclusive Training
Aim for a 25% increase in the number of interns from underrepresented backgrounds within the first year of a program restructuring.	Target a 20% rise in hiring from diverse backgrounds within six months of implementing the reformed talent acquisition strategies	Achieve 90% participation in bias-awareness and inclusive leadership training within the first eight months of its launch	Aim for a 15% increase in employee satisfaction scores related to inclusion and diversity within one year, as measured in annual surveys.

PROPOSED TIMELINE:

Q1-Q2 2024	Q3-Q4 2024	Q1-Q2 2025	Q3-Q4 2025
Develop and execute restructured internship program admissions	Finalize diversity-focused partnerships and conduct training for fair recruitment practices.	Roll out bias-awareness and inclusive leadership training company-wide.	Implement new scouting policy. Refine strategies based on impact assessment

PROPOSED BUDGET:

The suggested strategic plan and activities for DIVE will cost a total of $1,470,000 (USD). This payment is spread out across nearly two years, or eight quarters. A comprehensive budget is provided on page 18 of this report, under the "Proposed Strategic Budget."

Internship Program

$80,000

- Recruitment efforts for diverse candidates
- Implementation of blind recruitment methods
- Support and Mentorship for diverse interns

Talent Acquisition

$40,000

- Partnership development with diversity-focused groups
- Participation in diversity recruitment events
- Development of diverse recruitment strategies

Inclusivity Training

$395,000

- Training program development on bias awareness and inclusive leadership at 9 offices
- Giant Program that employees look forward to
- Will become a huge part of company culture

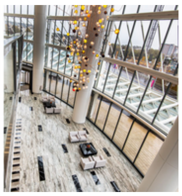
DIVE Impact Assessment

$955,000

- Evaluation tools and analytics software
- Data analysis and reporting
- Action planning based on assessment findings

II. INTRODUCTION

A. Description of the business/organization



Capital One Financial Corporation, headquartered in McLean, Virginia, is a Fortune 100 bank (15th) and financial services company. Capital One has become a major player in the banking industry and offers a wide range of services such as consumer and business banking, credit cards, auto loans, and data-driven analytics. Capital One was established in 1988 and has become a global bank in North America and other parts of the world with over 50,000 employees worldwide. Currently, the 9 th largest in North America, with assets valued at $471.660 billion (USD), serving a customer base of 100 million globally, and a market capitalization of $49.39 billion (USD). The mission of Capital One is to help people achieve success with the innovative and easy-to-use banking solutions, which provide access to important financial means and tools. They do this while being dedicated to the well-being of their customers by providing a wide range of products, 24/7 support, and contributing to the welfare of the community. Showing that they are one of the leading companies in the financial sector.

Capital One's Two Main Segments

Capital One offers a comprehensive set of financial products, including deposit accounts, loans, credit cards, mutual funds, and Guaranteed Investment Certificates (GIC) products, to the needs of consumers. With a vast network of over 750 offices across the United States. Capital One addresses diverse funding needs such as the Business Grant Program for Black-Owned Businesses, awarding $10,000 grants to 170 businesses. The company also promotes supplier diversity through developmental programs like Catapult, SAGE Advice, and the Diverse Supplier Mentoring Program, emphasizing mentorship, networking, and cash grants for underrepresented entrepreneurs. Furthermore, as a partner in Strive USA, led by the Mastercard Center for Inclusive Growth, Capital One contributes to the program's goal of supporting five million businesses over the next five years.

In the retail banking sector, the bank has excelled, getting nearly $349.8 billion, (USD) in deposits and generating a substantial $7.113 billion (USD) in net interest revenue, as depicted in the screenshot. Impressively, Capital One achieved a total net income of $8.9 billion (USD) from its operations throughout the 2023 calendar year.

Forbes 2023
AMERICA'S BEST BANKS

(Dollars in millions, except per share data and as noted)	2023 Q2	2023 Q1	2022 Q4	2022 Q3	2022 Q2	2023 Q2 vs 2023 Q1	2023 Q2 vs 2022 Q2	Six Months Ended June 30, 2023	Six Months Ended June 30, 2022	2023 vs 2022
Income Statement										
Net interest income	$ 7,113	$ 7,186	$ 7,197	$ 7,003	$ 6,517	(1) %	9 %	$ 14,299	$ 12,914	11 %

Screenshot showing Capital One's net interest income in the year dated 2022-2023 in millions ($USD).

Best Workplaces™ for Parents
Great Place To Work.
USA 2022

Forbes' List of World's Best Banks, drawing from industry surveys and expert evaluations, recognized Capital One as a top performer, showcasing its consistent excellence in the financial services sector. Capital One's dedication to customer satisfaction and innovation has positioned it as one of the leading banks globally in 2023(15th).

"We've been talking of Capital One as a technology company for a while now. The best proof of that is [to become] a technology company that's actually selling software."

- **Ravi Raghu, head of Capital One Software**

Institutional and Commercial Banking Products:

2023 saw Capital One mark another year of significant successes, following up on the milestones it recorded in 2022. In Institutional and Commercial Banking Products, the company reported well over $8.9 billion earned in revenue, which makes it a global leader in commercial and retail banking according to Forbes.

Capital One provides digital and consumer banking products:

Digital Banking and Technology Services is another major income earner for Capital One. It can be seen from the financial performance of 2022, characterized by a 13% loan growth and $34.3 billion in revenue. The company made a well-planned investment in marketing, released its first external software product, and took part in major technology conferences. By focusing on rewards that are clear and selling, Capital One continued to serve its millions of clients with a high level of support and loyalty. This company's commitment to helping small businesses, including products like Spark Cash Plus, was recognized with an #1 in Customer Satisfaction among National Banks in the United States by J.D. Powery. Capital One is ready to provide leading digital experiences, with the goal of reinventing banking for the better.

B. Description of the target market (demographic, psychographic, geographic)

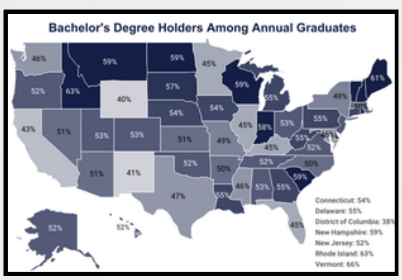
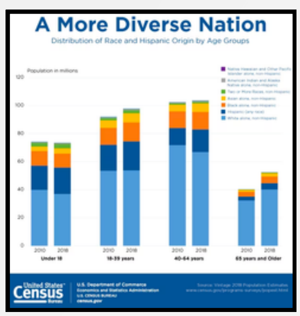
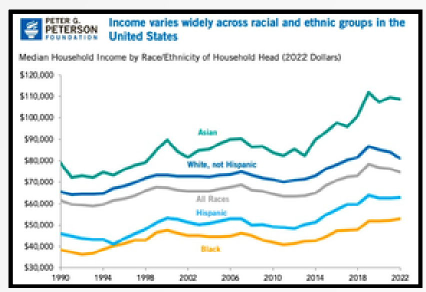


Chart illustrating the percentages of annual graduates in each state who possess a bachelor's degree.



Displaying the various ethnicities/ages of within the United States.



Median Household Income of the United States population by Race/Ethnicity

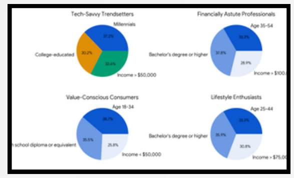
Demographics:

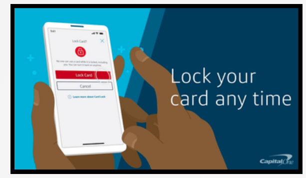
The demographics of the Capital One strategically aligns with the diverse U.S. population of approximately about 335 million people with the average age of 38.9. Remarkably, 22.1% of this population is under the age of 18, highlighting the dynamic and young nature of the U.S. The average per capita income for Americans is $65,423, offering an economic perspective that Capital One navigates. The U. S is a country of diverse racial and ethnic groups consisting of 13.6% Black or African Americans, 6.3% Asians, and 19.1% Hispanic or Latino. Secondly, the immigrant population, that is 13.6% of the U.S, highlights the need to develop focused approaches to address the changing needs of this target audience. In terms of education, 33.7% of the population aged 25 years and over have Bachelors' degree or higher, indicating a well-educated market. The company operates within this diverse environment in a very strategic manner by recognizing factors such as age distribution, culture or ethnicity and education levels within the society.

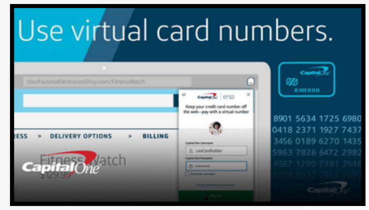
Psychographics:

Capital One's primary target audience is a diverse mix of individuals who are technologically advanced trendsetters, financial experts, savvy shoppers, and lifestyle enthusiasts. This dynamic group is composed of individuals with varying preferences and priorities. The majority, accounting for 80%, are Tech-Savvy Trendsetters who possess impressive educational backgrounds, with 65% holding a college degree and 70% earning over $50,000 annually. Financially Astute Professionals make up 75% of the target audience, primarily between the ages of 35 and 54. These individuals have high levels of education, with 85% holding a bachelor's degree or higher, and a significant 65% earning over $100,000 annually. Value-conscious consumers make up 60% of the target audience and are primarily between the ages of 18 and 34. 55% of this group holds a high school diploma.

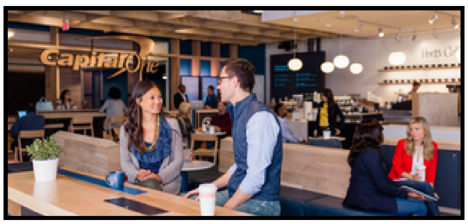
CONVENCIENCE & SECURITY







Capital One's dedication to having a wide range of customers is evident in their digital services, such as Eno and virtual card numbers. By providing features that prioritize convenience, security, and proactive financial management, Capital One is committed to meeting the needs of their diverse client base. Among the Lifestyle Enthusiasts category, made up of individuals ages 25-44, 65% of whom hold a bachelor's degree and 60% have an annual income of over $75,000. This clearly demonstrates Capital One's alignment with those who value both a high-quality lifestyle and cutting-edge financial experiences. Essentially, the psychographic target market for Capital One is made up of forward-thinking, data-conscious individuals who seek tailored and innovative financial solutions.



Geographics of Capital One:

Capital One covers the U.S. with its 750 branches, targeting metropolitan areas like New York and Chicago. Addionally, the bank is also expanding its services to surrounding suburbs, ensuring that its services cover both urban and suburban areas. These branches are important locations, providing convenient access to a wide range of customers. Going beyond traditional branches, Capital One offers a unique experience with about 30 cafe-style locations. These include modern, inviting branches with comfortable seating and coffee bars. Moreover, the bank's 2,000 ATMs scattered across the country further strengthen its physical presence. The combination of traditional branches, new cafe-style spaces and comprehensive ATM connections shows that Capital One is committed to meeting the diverse needs and preferences of its customers

C. Overview of the business or organization's current process for recruiting, hiring, onboarding and retaining employees

Capital one's methods of recruiting, hiring, onboarding

The company uses structured interview formats such as "super days" and "coffee chats" to assess candidates based on current skills and experience. The recruitment process emphasizes the creation of entry-level positions through internships and exchange programs, in line with anticipated business needs. Despite competition for talent from larger banks, Capital One stands out for hiring quickly, completing assessments and "super day" reviews in two weeks' time, but while their current practices are relatively effective, there is still room for improvement. One notable observation is that despite overseeing a very diverse target market, there is little diversity among the employees at Capital One. By encouraging a diverse workforce, the company can improve its ability to engage and understand customers better. A greater focus on diversity could attract individuals who value an inclusive workplace, and could increase the overall attractiveness of Capital One as an employer. This increase in diversity would provide the profitability of the company has increased significantly, as it will attract more employees and build customer confidence

Employee retention

In terms of employee retention, Capital One prioritizes engagement and career support. The company ensures a competitive compensation package that includes benefits such as an Employee Stock Purchase Plan and tuition reimbursement. Capital One reinforces a culture of continuous learning through ongoing training initiatives, which include credit training and weekly sessions for rotational associates. However, Capital One's dedication to promoting diversity and inclusion in its culture, as evident in various business resource groups, seems more like a PR move than a genuine commitment. These groups may offer support, mentorship, and networking opportunities, but the overall workplace environment remains far from inclusive. At Capital One, the lack of inclusivity in the culture is apparent through restricted employee involvement in decision-making, unequal career opportunities for specific groups, and a continued lack of representation in leadership roles, even with the existence of business resource groups.

III. RESEARCH METHODS USED IN THE STUDY

A. Description and rationale of research methodologies selected to conduct the research study

In response to the challenge of talent shortage, this report outlines a plan aimed at attracting and retaining top talent. Through collaboration with Capital One, we thoroughly examine their current processes in recruiting, hiring, onboarding, and retention, having a comprehensive mix of primary and secondary research methods. The analysis involves surveys, consultations with third parties, and in-depth interviews at various branches to provide a well in depth understanding of their talent management environment. Through a careful examination of both qualitative and quantitative data, our goal is to reduce potential biases and make a plan that is precisely customized to address the unique needs of Capital One.

Research Method	Description	Rationale
INTERVIEWS	Mr. Gandi (Manager): • Capital One heavily relies on internship and rotational programs to build a strong internal talent pipeline. • Rotational programs provide diverse experiences and skill development opportunities for early-career employees. Mr. Beauregard (Business Director): • "Super Days" organized the recruitment process, saving time and resources. • Lack of diversity and inclusivity in leadership positions Mr. Gonzalez (New Analyst): • Attractive salary and benefits packages make Capital One a desirable employer. • Challenges in acquiring top talent, particularly in competing with larger banks. Increasing diversity could be beneficial. as a more inclusive workplace may attract individuals	• These Interviews showed us employee experiences, motivations, and challenges, building a greater picture of Capital One's talent environment. • From managers to analysts, These Interviews overall led us to discover hidden frustrations and concerns, allowing us to proactively address issues to implement in our strategic plan. • These Interviews also helped with the quantitative data as adding human experiences, created context and emotional depth to our statistical analysis.
EMPLOYEE CONSULTATIONS	• 10 Capital One employees were interviewed outside a CO-affiliated branch in Ashburn/Mclean, Virginia. to gather their opinions • Stressful work environment • Insufficient efforts toward providing a more diverse workplace.	• Consultations reveal employee experiences, motivations, and challenges not captured by data alone. This human touch gives off a better understanding of Capital One's talent environment and informs stronger recommendations for our report.
SURVEYS	• A survey conducted through Google Forms gained a total of 48 responses from Capital One employees. The responses were categorized into groups, and data analysis was performed using Google Sheets.	• Provide important qualitative data, motivations, and concerns. A survey allowed us to quantify these insights, converting them into measurable metrics. This strengthens our report by providing statistical evidence to support our conclusions and recommendations.

Research Method	Description	Rationale
Financial Evidence	SEC Filings: • Provide official data on financials, operations, and risks, offering a solid foundation for analysis. Capital One Annual Report: • Supplements official data with current news, updates, and strategic initiatives.	• Possessing factual SEC financials can enhance credibility and offer valuable insights. • The annual report keeps us abreast of recent developments and strategic shifts, ensuring our analysis remains relevant and forward-looking.
Secondary Research	Professional Consultations: • Employee and expert feedback identified specific challenges and potential bottlenecks in current recruitment practices. Consulting Research: • Professional Business Research firms along with many other consulting firms research the importance of diversity and inclusion and help prove that diversity and revenue are directly related.	• Use employee and expert consultations to identify hidden challenges and cultural problems in existing practices. • Use studies published by McKinsey and other consulting firms to prove that an increased use of D&I initiatives will improve company culture, increase productivity, and increase revenue. These studies are the basis of our report and will be the rationale for most of our plan.

B. Process used to conduct the selected research methods

Interviews

Emails were addressed to Mr. Beauregard, Mr. Gandi, and Mr. Mr. Gonzalez . Interviews were conducted throughout the month of October and the first week of November 2023. A specific set of 25 questions was made to get more insights into Capital One's recruitment methods.

Employee consultations

17 Capital One employees were interviewed outside a CO-affiliated branch in Ashburn/Mclean, Virginia.

Surveys

The survey concentrated on employees' views of their company's recruitment and hiring practices. With Mr. Beauregard's authorization, the survey was distributed via email at Capital One.

Secondary Research

Downloaded relevant filings from the SEC Edgar database or Capital One's investor relations website. Used financial modeling software or spreadsheets to analyze data on income statements, balance sheets, cash flow statements, and management discussions & analysis sections.

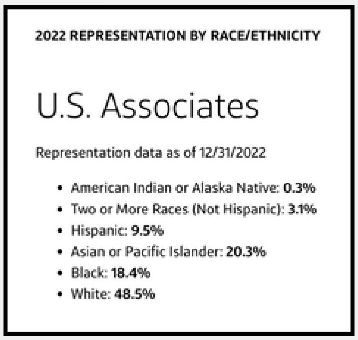
Third-Party Consultations

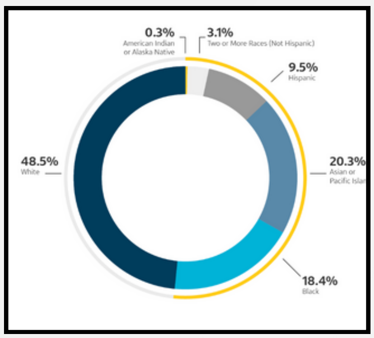
We explored data on Capital One's budget allocations, target markets, and strategic initiatives to understand the context of their recruitment needs. Studies on the importance of diversity were crucial to determine the effect of our plan. The studies helped us prove that diversity and revenue are directly related.

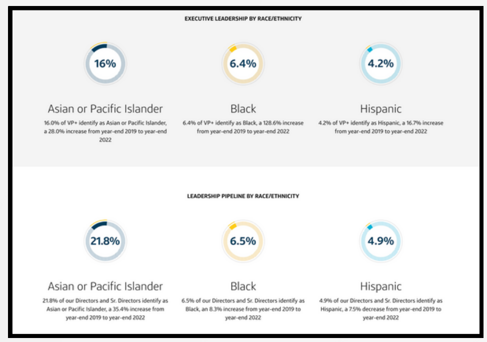
IV. FINDINGS AND CONCLUSIONS

A. Findings of the Research Study

Despite Capital One's strengths in training, compensation, and onboarding, significant challenges remain in providing a truly diverse and inclusive workforce. Their impact on genuine inclusion and representation across leadership levels needs further evaluation - (around 50% of high officials and associates are white), compared to established competitors. Additionally, concerns around the competitiveness of analyst programs and limited location flexibility halt their ability to attract the best and brightest. Boosting diversity would contribute to increased profitability and improve these concerns, as it would gain support from both employees and the public who appreciate the company's commitment to inclusivity. This dedication not only strengthens talent acquisition but also brings diverse perspectives, improving the overall quality of the banking community at Capital One. According to data from our study we have determined that by increasing diversity within Capital One, Capital One's profits will increase.







Key Findings

Our research aimed to capture diverse perspectives on the company's talent and recruitment strategies by interviewing individuals across different career levels, from entry-level analysts to senior directors. To fully sum up our findings, we have outlined the questions presented during the multiple interviews conducted with members of the Capital One team.

Questions	Answers
How do you personally assess the effectiveness of the hiring process here?	The hiring process is somewhat effective. The company tends to fill entry level spots through the internship program and the rotational program, with the spaces ultimately determined by anticipated business need.
Can you describe your experience with onboarding and training since joining the company? From your perspective, what strategies have you noticed the company employing to engage and retain employees?	The corporate banking group has a very robust training program. We spent 4 weeks at the headquarters in Mclean focusing on both job specific skills and general corporate development.
Can you share your thoughts on the employee benefits and compensation packages offered by the company?	The company has a very generous compensation and benefits package. The base is above the industry standard, and the bonus is probably on par with the industry. They offer good insurance options, an Employee Stock Purchase Plan, tuition reimbursement, and a lot of other benefits.
How does the organization assess the impact of its talent management strategies on the overall company performance?	On the corporate banking side, they assess using various efficiency ratios. These compare data on employee wages, travel expenses, and office overhead to loan-only return and fee revenue.

Questions	Answers
Based on your understanding, what skills and experiences are highly valued in potential new hires?	It seems like they weigh a combination of sociability, business competence, and general reasoning. They don't seem to be too focused on technical skills but look more at a candidates' ability to reason and communicate effectively. This is all just speculation based on the people I encounter in the program.
From your perspective, who are the main competitors for talent in our industry?	The banking industry is very competitive with large banks like JP Morgan, Wells Fargo, and Bank of America consuming a lot of talent. Capital one is more competitive in the mid-sized banking group (think BMO, Citizens, PNC, and U.S. Bank). Cap One also competes with private credit firms as people tend to exit into those roles.
Can you provide insights into the current recruiting and hiring practices you've encountered since joining the company?	The rotational associates don't interact much with the recruiting group. We do have signup sheets to volunteer for mentor and hiring advisor roles. As a wholistic approach, they tend to hire primarily out of the internship program, and then later fill the extra spots with external hires. The 2nd year rotational associates and interns get priority for office location. The external hires are then given offers based on what locations are available after that.
what challenges have you observed in attracting and retaining top talent?	The company seems to struggle to compete with larger banks for new talent. There are so many analyst programs at other banks that it's hard to differentiate. Another aspect that I've seen people take issue with is the tech-like operations (i.e., Nontraditional titles and org structure). It seems to make it more difficult for people on the corporate banking side to mesh with the rest of the industry.

Customer Surveys (Quantitative)

A survey conducted through Google Forms gained a total of 48 responses from Capital One employees. The responses were categorized into groups, and data analysis was performed using Google Sheets. The survey concentrated on employees' views of their company's recruitment and hiring practices. With Mr. Beauregard's authorization, the survey was distributed via email at Capital One.

Question 1

what is your opinion on the need for Capital One to improve its diversity and inclusivity environment?(On a scale from not important to extremely important.)

Question 2

How would you rate your ability to adapt to change and work effectively in an environment with evolving priorities? (On a scale of not adaptable to highly adaptable.)

Question 3

How comfortable are you interacting with and learning from individuals from different backgrounds and perspectives? (On a scale of uncomfortable to very comfortable.)

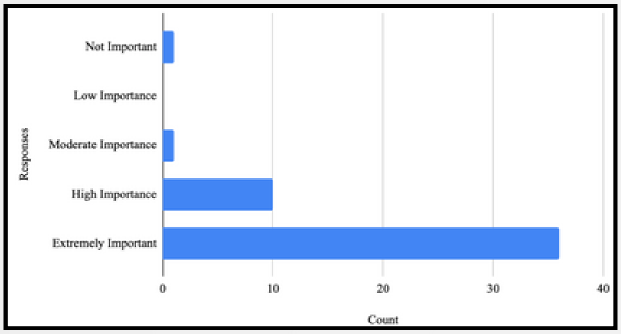
Question 4

how interested are you in participating in Capital One's employee resource groups or community engagement initiatives? (On a scale of not at all to very involved.)

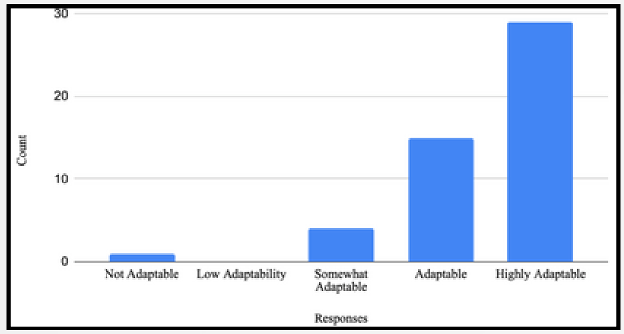
Question 5

How would you assess the level of diversity and inclusivity in Capital One's culture?
(On a scale of very low to very high.)

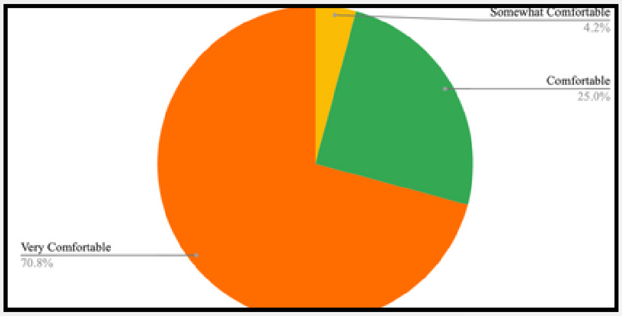
Question 1
A Diverse Workplace



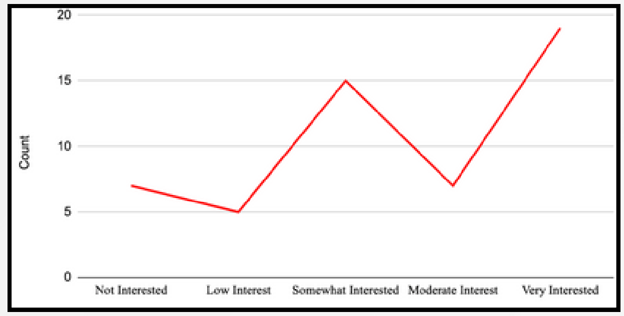
Question 2
Adaptability to Change



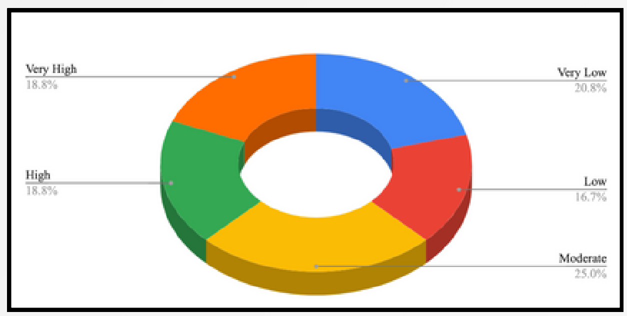
Question 3
Diverse Perspectives



Question 4
Community Initiatives



Question 5
Diversity Assessment



Diversity Effectiveness:

According to the survey, 75% of the respondents regard diversity and inclusion as highly valuable to the company. 95% stated that they are comfortable or very comfortable collaborating and learning from people with different backgrounds. This response shows how much people want more diverse working places. Consequently, these viewpoints not only create a favorable environment for employees but also agree with the possibility of raising profits.

Employee Engagement and Retention:

More than 60% of the employee employees demonstrate a high adaptability to company changes, showcasing considerable flexibility in response to productivity-driven shifts. Actively pursuing diversity and inclusion initiatives would likely be well-received by employees, providing a more collaborative and innovative environment. This approach promotes higher engagement and increased employee retention as it will prove that regardless of any background, individuals feel accepted and appreciated. Furthermore, having diverse individuals with higher leadership positions can serve as a motivating factor to work harder, potentially improving overall company performance.

Need for Diversity:

Improving this part of the culture can play a key role in reducing stress and providing a more resourceful environment. The fact that 37.5% of employees believe that Capital One has either low or very low diversity, while only 18.8% view it as very high, highlights the need for change. This indicates that the current culture lacks sufficient inclusivity and diversity and needs reformation. The implementation of the Dive plan (pg. 13) will significantly elevate these statistics.

B. Conclusions Based on Findings

Findings from observing the effects of increased D&I initiatives in other financial institutions

A growing body of evidence demonstrates a direct link between diversity and financial performance in the financial sector. Studies by McKinsey & Company and others consistently show that companies with more diverse leadership teams and workforces outperform their less diverse counterparts. For example, companies in the top quartile for racial and ethnic diversity are 30% more likely to have above-average financial returns, while those in the top quartile for gender diversity see a 15% increase in profitability. This positive correlation holds true across various metrics, including earnings before interest and taxes (EBIT), return on investment (ROI), and market share.

Diverse teams bring a wider range of perspectives and experiences to the table, leading to more innovative solutions and better decision-making. They also tend to be more engaged and productive, providing a more positive and inclusive work environment. By increasing diversity at all levels, financial institutions can unlock significant competitive advantages and drive sustainable revenue growth.

- A 2015 study by McKinsey & Company found that companies with diverse leadership teams have 21% higher profitability on average.
- For every 1% increase in gender diversity, S&P 500 companies see a 3% increase in ROI (Credit Suisse, 2015).
- Teams with cultural diversity are 60% more likely to outperform their less diverse counterparts (Forbes, 2019).
- Companies with diverse executive teams (including gender, ethnicity, and LGBTQ+) have 19% higher revenue from products, driven by greater innovation and a greater market reach.
- Companies with inclusive cultures experience 20% higher employee engagement and 28% higher profitability. (Deloitte 2019)
- Diverse investment teams generate 17% higher net profits than non-diverse teams due to superior decision-making. (Boston Consulting Group , 2019)
- Diverse companies are better positioned to understand and serve diverse customer segments, leading to increased market share and customer loyalty. (McKinsey 2019)

Final Conclusions

Strengths	Capital One excels in recruitment through a somewhat efficient internship and rotational programs, providing a competitive compensation package above industry standards. While the commitment to a diverse and inclusive workforce is acknowledged, there is ongoing effort to enhance efficiency in achieving diversity goals. More specifically, the organization utilizes technology-driven recruitment methods through social media and LinkedIn. Capital One consistently refines talent management, focusing on efficiency ratios for continuous improvement. However, the proposed plan(Pg.13), DIVE, aims to improve talent management, diversity, and recruitment strategies.
Weaknesses	Capital One faces several challenges as reported by employees. There are potential communication gaps, leading to weakened trust and dissatisfaction. Diversity and Inclusion (D&I) ratings are behind competitors, raising concerns about engagement and innovation. Heavy reliance on the internship program creates potential limitations in diversity and innovation. Additionally, Reports indicate a stressful company culture affecting workplace unity and makes it much harder to work in that type of environment. Applying our DIVE plan(Pg.13) would drastically improve the overall workplace at Capital One.
Opportunities	Capital One can establish many new opportunities by implementing diverse internship programs. By actively seeking candidates through blind recruitment, ensuring fairness, and providing personalized mentorship for inclusivity. If Capital One fixes the issue of D&I within the company, its profits will increase accordingly, and its bottom line will be stronger. Clear metrics are set to assess the impact of D&I initiatives on team dynamics, innovation, and employee satisfaction, aligning with continuous improvement objectives outlined in the DIVE Plan(Pg.13).
Threats	Implementing these strategies at Capital One may encounter challenges, including regulatory changes and compliance costs, demanding careful management without interfering with financial efficiency. Additionally, the intensifying competition from other banks and fintech startups requires strategic implementation while still maintaining a competitive advantage. Internal bureaucratic issues may halt the required agility for a smooth execution. Lastly, Potential resistance from employees or cultural barriers could impact the overall effectiveness of the plan(Pg.13). Therefore, implementing these methods is beneficial, but it must be done thoughtfully and strategically.

V. PROPOSED STRATEGY

A. Objectives and rationale of the proposed strategic plan

The ultimate goal of the strategic plan outlined below is to increase employee satisfaction, workplace culture, and productivity through the use of D&I initiatives thereby, increasing Capital One's bottom line.

DIVE Strategic Plan

D

Capital One's internship program offers a direct route to future talent; therefore, it is highly important to reformat their selection process as a way of ensuring that they are more diverse in the long run. In this regard, we advocate for restructuring the admission program in order to attract more applicants by focusing on skills rather than conventional measures. It is crucial for the admissions team not to only look at GPA and specific courses, but also seek students who have displayed problem-solving skills, teamwork spirit and love for knowledge. Having a diverse range of interns enhances innovation, strengthens group dynamics and promotes future employee diversity leading directly to Capital One's bottom line. Consistently, studies indicate that companies with diversified employees have higher levels of engagement among their staff which result in increased profitability.

I

Diversify capital one's talent pool beyond the usual MBA mold to emphasize D&I as well as promote workplace productivity. Also, attend their career fairs and source candidates through partnerships with HBCUs, HSIs, and other diverse institutions. Go deeper into non-traditional backgrounds by encouraging recruiters to look out for unique talents. This goes beyond merely checking boxes. This has been shown to improve innovation, problem-solving, and market awareness through fresh perspectives and experiences of different team members. Visualize a group looking at problems from multiple directions resulting in better decision-making and increased staff efficiency levels. So that eventually, we end up with a more productive and profitable organization.

V

Beyond traditional training, Capital One's "Value-Based Training" (COVBT) evolves into a company-wide engagement event, driven by leadership buy-in and strategic communication. Interactive workshops, facilitated discussions, and gamified scenarios will promote bias awareness and inclusive leadership in an engaging manner. Building anticipation through internal channels, teasers, and employee testimonials will transform participation from mandatory to eagerly awaited. This initiative goes beyond a one-time event, establishing an ongoing cultural shift set in Capital One's identity. COBVT will occur at all 9 of Capital One's flagship offices. By emphasizing collaboration, celebrating diverse perspectives, and injecting fun, COVBT becomes a highlight for every employee,

E

DIVE's impact will be assessed through multi-pronged methods. Quantifiable metrics like diverse hire numbers, innovation project success rates, and employee engagement surveys will be tracked. Data analytics will uncover connections between DIVE efforts and business outcomes, while internal pulse surveys and focus groups will gather qualitative feedback. This triangulation of quantitative and qualitative data will ensure DIVE demonstrably contributes to innovation, productivity, and Capital One's success. Data will be used to further refine and optimize DIVE's methods. Continuous evaluation and adaptation based on findings will be key to maximizing its positive impact.

B. Proposed Activities and Timelines

Internship Pipeline Optimization

Capital One's internship reforms prioritize skills over scores. Assessing problem-solving, teamwork, and learning passion broadens the applicant pool, fostering a diverse leadership pipeline. Diverse teams, research shows, thrive on higher engagement, innovation, and profitability. Investing in diverse interns equips Capital One with unique perspectives, driving long-term revenue and solidifying its diversity leadership.

Targeted Talent Acquisition

Diversify beyond race and ethnicity: partner with HBCUs, HSIs, and niche institutions, attending career fairs and actively sourcing candidates. Recruiters should proactively target non-traditional backgrounds with specialized skillsets. This expands the talent pool beyond quotas, fostering unique perspectives, ultimately driving a more productive and profitable Capital One.

Inclusivity Training

Capital One's yearly training becomes "Inclusion Jam," an engaging, all-hands event driving cultural change. Gamified workshops tackle bias and empower leaders. Internal buzz flips participation from mandatory to desired. Measurable results and celebrated diversity solidify impact. The "Inclusion Jam" will occur at all 9 capital One offices in the US. This yearly highlight transcends training, becoming a cultural cornerstone for everyone, solidifying Capital One's inclusive workforce commitment.

Measurable Impact Assessment:

*This will be covered in section 5 part C (page 16)

Timelines:

DIVE TIMELINE

Q1 2024

Start development of internship admissions and pipeline restructuring. Internally start training internship admissions officers.
Start developing D&I Measured Impact Assessment Platform (D&I MIAP)

Q2 2024

Start implementing of revamped internship admissions system. Gather data on results of the system and start refining.

Q3 2024

Fully implement the restructuring of internship pipeline and admissions program. Start planning huge value-based training program

Q4 2024

Start marketing Capital One's "Value-Based Training" (COVBT) internally through out the company. Start planning implementation of the program. Fully implement D&I MIAP.

Q1 2025

Start revamping Capital One scouting program to have scouters reach out to individuals with unique skills and backgrounds that Capital One can take advantage of.

Q2 2025

Execute COVBT at all 9 capital one offices throughout the US. Collect data on the results of the program. Start polishing previous programs based on data from D&I MIAP.

Q3 2025

Start preparing to rollout COVBT both in the US but also internationally Q2 2025.

Q4 2025

Implement revamped talent aquisition and internship pipeline admissions internationally to improve productivity outside the US.

C. Proposed Metrics or Key Performance Indicators to Measure Plan Effectiveness

To assess the impact of the DIVE plan on Capital One's diversity and inclusivity, we can use key performance indicators such as personal testimonies, surveys, analytical data, and the Capital One D&I Impact Assessment.

Key Metrics

Increase in Diverse Internship Participation.

- 25% increase in the number of interns from underrepresented backgrounds
- Intern satisfaction scores increase by 20%

Diversity Representation in New Hires.

- Target a 20% rise in hiring from diverse backgrounds within six months

Improvement in Value Based Training

- Aim for a 15% increase in employee satisfaction scores related to inclusion and diversity within one year in annual survey

Employee Participation in Inclusive Training

- Achieve 90% participation in bias-awareness and inclusive leadership training

Rationale

Restructured internship program will lead to increase in diversity in the intern pool. Tracking an increase in diversity will determine the success of the restructured program. An increase of intern satisfaction directly after the restructuring of the admissions program indicates success of the restructuring.

A 20% rise in hiring from diverse backgrounds within six months, indicates huge success in the restructured talent acquisition. This increase in diversity will significantly boost the company's profits, as it will attract more employees, and build trust among clients in the company's operations.

This statistical improvement will serve as key evidence that the DIVE plan will improve capital ones culture. It aligns with the company's dedication to creating an inclusive workplace, reinforcing our commitment to diversity and will clearly highlight the plan's successes. Providing a strong foundation for advancing to the next level in our efforts to promote inclusion and diversity.

As more people become aware, it will create a more unified workplace. Having individuals from diverse backgrounds in leadership positions serves as a motivation for people to work harder. The successes achieved will introduce diverse perspectives, ultimately improving the overall quality and productivity of the banking community at Capital One.

Performance Indicators

Personal Testimony	Personal testimony will be heavily impactful for documenting and recording the progress of diversity and inclusivity initiatives. They play a crucial role in humanizing the data and will help in identifying specific areas where diversity and inclusivity efforts have made a positive impact and highlight areas that still require attention or improvement.
Surveys	Conducting annual, monthly, or quarterly surveys serves as a good method to gather comprehensive quantitative and qualitative data. These surveys offer a structured approach to collecting information, allowing for a deeper understanding of both numerical metrics and personal thoughts on the changes related to diversity and inclusion (D&I).
Analytical Data	Analytical data is a powerful tool for advancing D&I efforts. By presenting charts and trends as key evidence can provide a solid foundation for making informed decisions and guiding the ongoing improvement of diversity and inclusion initiatives.
Capital One D&I Impact Assessment	This assessment is important for determining the effectiveness of our planned initiatives. It will It serve as a structured and organized evaluation, systematically measuring and analyzing the impact of our Diversity and Inclusion initiatives within the organization. This will reveal both areas for improvement and strengths in the company culture that we can focus on improving.

VI. PROPOSED BUDGET

The DIVE campaign expenditures allow capital one to optimize profits by increasing diversity and inclusivity. More specifically, shown in the chart below, covering a period of 5 years.

Activities	Expensess	Year One Total	Five Year Total
D.1 Design and Planning	$50,000 on Restructuring Internship Admissions Program + $5000 on Yearly Optimization Based on Data from Previous Years	$50,000	$70,000
D.2 Implementation	$30,000 to Retrain Current admissions Staff	$30,000	$30,000
I.1 Find Issues in System	$10,000 for Statistical Analysis on Current Scouting System + $5,000 on Yearly optimization Based on Data from Previous Years	$10,000	$30,000
I.2 Retrain Recruiters	$30,000 on Retraining Staff	$30,000	$30,000
V.1 Planning & Development (All 9 Capital One Offices)	$15,000 on Marketing Internally + $200,000 Hiring Diversity Trainers & Staff + $40,000 on Planning Event + $40,000 in Miscellaneous Costs (Conservative)	$295,000	$1,475,000
V.2 Execution	$50,000 on Food (Conservative) + $15,000 on Decorations + $35,000 on Miscellaneous Costs (Conservative)	$100,000	$500,000
E.1 Development	$700,000 on 10 Programmers (Only One Year)	$700,000	$700,000
E.2 Maintenance	$255,000 on 3 developer to maintain and improve system (Recurring)	$255,000	$1,275,000
Total		$1,470,000	$4,110,000

We intentionally kept our numbers outrageously conservative to ensure that we aren't over optimistic about the DIVE plan. This strategy ensures a careful and realistic assessment, with the flexibility to make slight adjustments or dial down the budget if necessary, with the best interests of Capital One.

Income:

Activities	Income Justification	Total
D. Restructured Internship Admissions	Studies suggest companies with diverse leadership teams have 21% higher profitability (McKinsey & Company, 2015). Applying this to Capital One's 2023 net income of $11.3 billion suggests a potential increase of $2.37 billion. However, attributing this solely to the internship program would be an oversimplification. Let's also assume a more conservative 0.1% increase in profitability rather than 21% Capital One hires ~700 interns yearly, the bank extends full time offers to ~400 of them. Assuming 300/400 interns with full-time offers stay for 5 years, they would represent 0.6% of Capital One's employee base after 5 years (300 / 50,000). A 0.1% increase in profitability on Capital One's 2023 net income of $11.3 billion translates to $11.3 million annually. Attributing impact to the program: Considering the 0.6% potential influence on the workforce and assuming a proportional impact on profitability, the program could contribute (0.6% * $11.3 million) = $6.8 million annually however, to be conservative we will assume 4 million.	$4 Million
I. Scouting & Recruiting	Assumptions: Diverse companies have 20% higher employee engagement (Deloitte, 2019). Higher engagement leads to a 5% reduction in employee turnover (based on industry averages). Capital One has 50,000 employees. Average cost to replace an employee is 20% of their annual salary (industry average). Calculation: Engagement impact on turnover: 20% higher engagement * 5% turnover reduction = 1% potential overall turnover reduction. Number of employees potentially retained: 1% reduction * 50,000 employees = 500 employees retained. Cost savings per retained employee: Assuming an average annual salary of $75,000, the cost to replace an employee would be $15,000 (20% * $75,000). Total cost savings: 500 retained employees * $15,000/employee = $7.5 million saved annually. To be conservative however let's cut this number down to $2 million.	$2 Million
V. COVBT	Assumptions: • Capital One has 50,000 employees • Industry average employee engagement score in financial services is 62%. • Diverse and inclusive companies experience a 20% higher engagement score, leading to a potential increase of 12.4% (62% * 20%) for Capital One. • 10% increase in engagement is linked to 5% increase in productivity (Gallup, 2017). • Assuming Capital One's engagement increases by 12.4%, their productivity could climb by 3% (conservative estimate considering varying study results). • Each employee generates an average annual output of $50,000. • Capital One operates with a 20% profitability margin. Calculations: 1. Increased Engagement: 50,000 employees * 12.4% = 6,200 employees 2. Increased Productivity: 3% 3. Increased Output per Employee: $50,000 * 3% = $1,500 4. Increased Total Output: 6,200 employees * $1,500 = $9,300,000 5. Additional Profit: $9,300,000 * 20% = $1,860,000 however to be conserverative we will cut this to 1 million.	$1 Million
E. Impact Assessment	Won't generate any money however, will strengthen the effects of other programs.	$0
	Total	$7 Million
Return on Investment	(7 Million - 1.47 Million) / 1.47 million	376%

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